ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - THE NEXT SETUP - ANTICIPATORY SKILL DEVELOPMENT

INTRODUCTION TO ANTICIPATORY SKILL DEVELOPMENT & INSTITUTIONAL ORDER FLOW

TIME STAMP
00:00:31

ICT Monthly Mentorship

Forex Risk Disclosure:

The National Futures Association (NFA) and CFTC (Commodity Futures Trading Commission), the regulatory agencies for the forex and futures market in the United States, require that customers be informed about potential risks in the forex market. If you don't understand any of the information provided on this page, please contact us or seek advice from an independent financial advisor.

Risk Associated with Forex Trading Off-exchange foreign currency trading on margin carries a high level of risk and may not be suitable for all investors. The high degree of leverage can work against you as well as for you. Before deciding to invest in foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite.

The possibility exists that you could sustain a loss of some or all of your initial investment and, therefore, you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with off-exchange foreign currency trading and seek advice from an independent financial advisor if you have any doubts.

TheInnerCircleTrader.com Market Opinions:

Any opinions, news, research, analyses, prices, or other information contained on this website is provided as general market commentary, and does not constitute investment advice. http://www.TheInnerCircleTrader.com, Michael J. Huddleston, aka "ICT" and or The Inner Circle Trader will not accept liability for any loss or damage, including without limitation to, any loss of profit, which may arise directly or indirectly from use of or reliance on such information.

Accuracy of Information The content on this website is subject to change at any time without notice, and is provided for the sole purpose of assisting traders to make independent investment decisions. http://www.TheInnerCircleTrader.com has taken reasonable measures to ensure the accuracy of the information on the website, however, does not guarantee its accuracy, and will not accept liability for any loss or damage which may arise directly or indirectly from the content or your inability to access the website, for any delay in or failure of the transmission or the receipt of any instruction or notifications sent through this website.

Government Required Risk Disclaimer and Disclosure Statement:

CFTC RULE 4.41 - HYPOTHETICAL OR SIMULATED PERFORMANCE RESULTS HAVE CERTAIN LIMITATIONS. UNLIKE AN ACTUAL PERFORMANCE RECORD, SIMULATED RESULTS DO NOT REPRESENT ACTUAL TRADING. ALSO, SINCE THE TRADES HAVE NOT BEEN EXECUTED, THE RESULTS MAY HAVE UNDER-OR-OVER COMPENSATED FOR THE IMPACT, IF ANY, OF CERTAIN MARKET FACTORS, SUCH AS LACK OF LIQUIDITY. SIMULATED TRADING PROGRAMS IN GENERAL ARE ALSO SUBJECT TO THE FACT THAT THEY ARE DESIGNED WITH THE BENEFIT OF HINDSIGHT. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFIT OR LOSSES SIMILAR TO THOSE SHOWN.

Trading performance displayed herein is hypothetical. Hypothetical performance results have many inherent limitations, some of which are described below. No representation is being made that any account will or is likely to achieve profits or losses similar to those shown. In fact, there are frequently sharp differences between hypothetical performance results and the actual results subsequently achieved by any particular trading program. One of the limitations of hypothetical performance trading results is that they are generally prepared with the benefit of hindsight. In addition, hypothetical trading does not involve financial risk, and no hypothetical trading record can completely account for the impact of financial risk in actual trading. For example, the ability to withstand losses or to adhere to a particular trading program in spite of trading losses are material points which can also adversely affect actual trading results. There are numerous other factors related to the markets in general or to the implementation of any specific trading program which cannot be fully accounted for in the preparation of hypothetical performance results and all of which can adversely affect actual trading results.

U.S. Government Required Disclaimer - Commodity Futures Trading Commission Futures and Options trading has large potential rewards, but also large potential risk. You must be aware of the risks and be willing to accept them in order to invest in the futures and options markets. Don't trade with money you can't afford to lose. This is neither a solicitation nor an offer to Buy/Sell futures or options. No representation is being made that any account will or is likely to achieve profits or losses similar to those discussed on this web site. The past performance of any trading system or methodology is not necessarily indicative of future results. Trade at your own risk. The information provided here is of the nature of a general comment only and neither purports nor intends to be, specific trading advice. It has been prepared without regard to any particular person's investment objectives, financial situation and particular needs. Information should not be considered as an offer or enticement to buy, sell or trade.

You should seek appropriate advice from your broker, or licensed investment advisor, before taking any action. Past performance does not guarantee future results. Simulated performance results contain inherent limitations. Unlike actual performance records the results may under or over compensate for such factors such as lack of liquidity. No representation is being made that any account will or is likely to achieve profits or losses to those shown. The risk of loss in trading can be substantial. You should therefore carefully consider whether such trading is suitable for you in light of your financial condition.

If you purchase or sell Equities, Futures, Currencies or Options you may sustain a total loss of the initial margin funds and any additional funds that you deposit with your broker to establish or maintain your position. If the market moves against your position, you may be called upon by your broker to deposit a substantial amount of additional margin funds, on short notice in order to maintain your position. If you do not provide the required funds within the prescribed time, your position may be liquidated at a loss, and you may be liable for any resulting deficit in your account.

Under certain market conditions, you may find it difficult or impossible to liquidate a position. This can occur, for example, when the market makes a "limit move." The placement of contingent orders by you, such as a "stop-loss" or "stop-limit" order, will not necessarily limit your losses to the intended amounts, since market conditions may make it impossible to execute such orders. By viewing any http://www.TheInnerCircleTrader.com text, audio, visual commentary, video or presentation, you acknowledge and accept that all trading decisions are your own sole responsibility, and the author, Michael J. Huddleston and anybody associated with http://www.TheInnerCircleTrader.com cannot be held responsible for any losses that are incurred as a result.

ICT Monthly Mentorship - November 2016 - ICT Teaching 4 of 8

Welcome back to the fourth teaching of eight for the November 2016 ICT Mentorship Core Content. This session focuses on anticipatory skill sets, specifically utilizing the monthly chart and institutional order flow to identify new setups.

- The monthly chart moves only with a great deal of smart money behind its price swings. Retail money cannot move price at this scale.

- Big ranges on a monthly chart are a direct result of enormous buying or selling interest by smart money.

- By identifying where smart money is most likely to place orders to buy or sell on the monthly chart, traders can stand to make a significant amount of pips without needing to trade frequently.

MONTHLY CHART ANALYSIS: OHL C AND RECENT PRICE ACTION

TIMESTAMP: 00:01:46

Focus on the Open, High, Low, and Close (OHL C) of every single candle on the monthly chart for the last three months for every pair of interest.

- Delineate these OHL C reference points on your monthly charts (e.g., November, October, September, August).

- Transposing these levels into your lower timeframes will bring a great deal of clarity.

- Overlapping levels from different opens and closes that are in close proximity are acceptable.

DEFINING THE MONTHLY RANGE WITH ORDER BLOCKS

TIMESTAMP: 00:02:46

To define the monthly range:

- Find the most recent down candle.

- Prior to this down candle, identify an up candle that exists above its high.

- For example, if the down candle's high is 31.44, look for an up candle (or up close candle) with a low higher than 31.44.

- This quickly delineates a significant range on the monthly chart for trading.

TRANSITIONING TO WEEKLY CHARTS AND IDENTIFYING BULLISH ORDER BLOCKS (USD/CAD EXAMPLE)

TIMESTAMP: 00:03:41

Once the monthly range is defined, drop these reference points down into a weekly chart for more refined information.

- Delineate each month on the weekly chart using a vertical line.

- Observe price action relative to the defined monthly range.

- For USD/CAD, with a down candle to the right of the vertical red line (June having a down close), price was in a long-term consolidation.

- When price trades through two down candles, and then moves higher, those down candles are activated as a bullish order block. A return back into this order block would indicate a bullish scenario.

USD/CAD EXAMPLE: MONTHLY OPEN AS SUPPORT AND UPSIDE OBJECTIVES

TIMESTAMP: 00:05:06

Note how the monthly candle at 130.70 (rounded to 130.80) acts as a significant level.

- Price drops down into this 130.80 level multiple times, responding aggressively off of it and expanding to the upside.

- The upside objective is identified by the monthly bearish order block, which is also the beginning of the last three up candles (the same as the up candle's low).

- This suggests continued upside continuation, reaching for the monthly bearish order block.

USD/CAD DAILY CHART: REACTION TO MONTHLY LEVELS AND DOWNSIDE OBJECTIVES

TIMESTAMP: 00:06:00

On the daily chart, the vertical lines clearly delineate each month.

- Observe price dipping down into the monthly open (130.80), with an aggressive response.

- The decline in October was driven by looking for 132.80 as a downside objective.

- This objective was based on specific down candles and the anticipation of higher prices based on the monthly framework.

USD/CAD DAILY CHART: RE-TRADING ORDER BLOCKS AND FURTHER UPSIDE

TIMESTAMP: 00:07:30

Price re-trades back into a down candle multiple times, then ultimately retreats into the higher 132.80 level.

- Price then expands to the upside, targeting the 138 big figure and potentially higher.

- The key takeaway is to identify your current position within the monthly range.

- Find the most recent down candle and the most recent up candle to define this range.

GENERAL METHODOLOGY FOR IDENTIFYING ORDER BLOCKS AND TRADE RANGES

To define the range and potential trade setups:

- If the market trades above a down candle, wait for a return back to that down candle; it becomes a bullish order block to trade up into the last up candle.

- If the market trades up into an up candle, find the last down candle (the most recent one) which will serve as a range for the downside.

- This framework indicates potential upside for dollar CAD on a monthly basis.

USD/JPY EXAMPLE: DEFINING MONTHLY RANGE AND BULLISH ORDER BLOCK

TIMESTAMP: 00:08:51

Applying the same study to the USD/Japanese Yen pair on the monthly chart:

- Identify the most recent down candle.

- Prior to this down candle, find an up candle whose low is higher than the down candle's high.

- For example, if the down candle's high is 104.35, the up candle with a low higher than this forms the upper bound.

- The defined range is between 106.28 and 103.26 (approximately 300 pips).

- As soon as the current candle trades above the down candle's high, this down candle becomes a bullish order block. A buyer would look for entries at 103.26 or less.

USD/JPY WEEKLY & DAILY: EXECUTION AND RALLY

TIMESTAMP: 00:09:59

On the weekly chart, observe price trading below 103.26.

- During the US election, price trades down into the bullish order block.

- On the daily chart, the body of a specific down candle is identified as the beginning of the bullish order block.

- The mean threshold of this down candle is not challenged, even during the election knee-jerk reaction.

- Price dips into the order block (a buy opportunity), rallies, then on election day, dips again into the previous bullish order block (another buy opportunity), and rallies away.

- Old highs and equal highs on the monthly chart (the 106.28 level) serve as the objective, which was achieved with over 300 pips.

NZD/USD EXAMPLE: DEFINING MONTHLY RANGE AND BEARISH ORDER BLOCK

TIMESTAMP: 00:11:32

Switching to the Kiwi Dollar (NZD/USD) on the monthly chart:

- Identify the last down candle.

- Identify the most recent up candle that is below the down candle's low.

- This range is used to define the trade.

- Having moved away from the last up candle, this up candle is now exercising as a bearish order block.

NZD/USD WEEKLY & DAILY: DOWNSIDE OBJECTIVES AND REFINEMENT

TIMESTAMP: 00:12:10

On the weekly chart, price trades up into the bearish order block, even trading through its body in a sloppy manner.

- The downside objective is 69.83 (or 69.85).

- The close of the relevant candles comes in at 70.05, which would be a target to cover (approximately 120 pips).

- Further potential downside objective personally anticipated is 67.80.

- On the daily timeframe, price has already moved a good distance.

- The identified bearish order block can be refined on lower timeframes.

- Minimum expectation is to trade down to specific lows, and then below those lows.

The overall process uses the monthly chart to define bullish and bearish order blocks and the overall range.

- Then, lower timeframes (weekly, daily, hourly) are used to get closer to the market and refine risk.

- Use the higher timeframe monthly chart to find the most recent up candle and most recent down candle; this defines your range.

- Define that range based on where the most recent order flow has sent price:

  - If price violates a down candle, it gives permission for that down candle to become a bullish order block.

  - If price breaks an up candle by violating its low, that activates it as a bearish order block.

- Look for the contrary order block on the monthly chart.

- Take those monthly levels and transpose them down into weekly, daily, and hourly charts.

- This methodology provides a plethora of opportunities for study and offers a specific mindset for approaching the marketplace, knowing precisely what levels to trade off of. This top-down approach leads directly into trade setups that would otherwise be unseen.